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Amir Yaron (yah-ROHN)

Governor of the Bank of Israel

Addressed as: **Governor** | Office held since: **Dec 2018**

A world-class macro-finance scholar, Professor Amir Yaron approaches his job with a deep sense of responsibility and unwavering commitment to protect the independence of the Bank of Israel.

- **Mission-Driven**
  Yaron has publicly noted that he gets "up each morning with a deep sense of mission," understanding that his policies affect every citizen. During his two terms as governor, he has had to navigate the economic consequences of the COVID-19 pandemic and the war in Gaza.

- **Innovation Machine**
  Yaron wants the Bank of Israel to become a technological leader. He is a staunch promoter of Israel's fintech ecosystem and an advocate for the Digital Shekel as a Central Bank digital currency.

Yaron is an unapologetic institutionalist, willing to go toe-to-toe with politicians, including the prime minister, to defend the Bank's independence and prerogatives.

WHY THEY MATTER

Yaron's primary goals center on strengthening Israel's financial system, especially its resilience to crises. He is pushing for more competition in credit markets and fostering an environment that allows additional banks to flourish.

- **Strengthening Resilience**
  Because of the economic fallout from the pandemic and war, Yaron is focused on using monetary tools "in routine and during crises" to stabilize the country's economy. He is sensitive to how worsening global sentiment can damage "intangible capital" and hurt how investors see Israel.

- **Increasing Competition**
  Yaron is seeking to remove barriers to entry for smaller and digital banks, arguing that more competition will benefit households and small and medium businesses. He is keen to reduce the level of concentration in the banking sector.

Yaron tries to balance comfort with uncertainty and a demand for precision in his policy decisions. In a recent interview, he said "some decisions are clear, and some are less clear, and you have to manage risks." He added that if an interest-rate decision is 100 percent clear, "there is a big chance that you are late."

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MEETING WITH THEM

While Yaron is calm and easy-going in his private engagements, he hasn't lost his analytic edge or willingness to acknowledge uncomfortable truths.

- **Cool, Calm, and Collected**
  Yaron tends to be measured, even during intense discussions. In a magazine feature on Yaron, the author admitted that it was "hard to get the governor to speak critically at all." Yaron speaks in natural speech patterns with authentic hesitations, self-corrections, and thinking pauses.

- **Intellectually Honest**
  Yaron leans on his scholarly training in his interactions, effortlessly dissecting complex economic situations and talking with surprising candor about the effects of Israel's political turbulence and international pressure on his work.

Over the course of his governorship, Yaron has become more sober and realistic in his speeches and remarks. He also is increasingly comfortable saying what he doesn't know; he recently admitted that "there's just too much uncertainty how things will develop in the near future."

ON THEIR MIND

- **Lowered Benchmark Interest**
  In a surprise move, the Bank of Israel in early January reduced this key interest rate for the second time in two months, lowering the rate to 4 from 4.25 percent. Officials pointed to the improving inflationary environment after the Gaza ceasefire.

- **Strong Recovery for Israeli Exports**
  The Economy and Industry Ministry in late December announced that exports were approaching pre-crisis peak levels, forecasting total exports for 2025 at $160 billion—a 3 percent increase from 2024.

- **Opposition to 2026 Budget**
  The ultra-Orthodox Shas party has signaled that it will not vote for the 2026 budget without the passage of the ruling coalition's bill regulating conscription and exemptions for the Haredim, Israel's ultra-Orthodox Jewish population.

- **Economic Missions Abroad**
  The Israeli government in December touted that it would open new economic attaché offices in Addis Ababa, Athens, Belgrade, Buenos Aires, and Miami.

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NETWORK

Yaron has a natural affinity for the United States due to his decades of living and teaching there, though he is quick to explain why he disagrees with or won't replicate certain U.S. policies.

Yaron, while stating that the United States is an important anchor for Israel's economy, has rejected comparisons with the Fed, saying "we are not in the same position" because of different labor market conditions and mandates. On President Trump's tariffs, Yaron said the tariff plan was a significant shock, assuming it will slow world trade and reduce Israel's exports.

Yaron's relationship with Prime Minister Benjamin Netanyahu, as well as several far-right politicians, is often under strain. While the Prime Minister respects the Governor's economic expertise, they have battled over his independence.

Netanyahu and Yaron have argued over the Bank's independence and budgetary decisions. In 2024, Yaron wrote to Netanyahu, urging the government not to spend excessively and reminding him that there was no such thing as a "free lunch." In the same year, Yaron argued that the military should not get a "blank check."

CONTROVERSIES

Yaron, who is untainted by corruption allegations or personal scandals, has repeatedly attracted political controversies for his principled position on his independence and defense of his rate-hike decisions.

- **Sticking up for Institutional Independence**
  Yaron clashed with the political class over proposed banking legislation that he said would threaten the Bank's independence and attempts to overhaul the judiciary in 2023. He warned that the government's efforts could harm economic institutions, noting that "such a resolution needs to preserve independence and strength of the institutions in a way that will be widely accepted across the political field."

- **Defying Criticism Over Rate Policies**
  Yaron has taken heat for his rate hikes, especially from ultra-Orthodox parties. The Finance Committee chair Moshe Gafni called Yaron a "bad governor" whose policies were "hurting the weak" and Communications Minister Shlomo Karhi said Yaron should be replaced with a "robot."

At the time of his appointment, some commentators, many of whom were on the far-right, argued Yaron was out of touch and too removed from Israeli realities due to his decades of living in America. Yaron has told journalists that "this question is being asked less" after years on the job.

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CAREER HIGHLIGHTS

- **Governor**, Bank of Israel (2018 - present)
- **Co-Head, Capital Markets and the Economy Group**, National Bureau of Economic Research (2012 to 2018)
- **Professor of Banking & Finance**, University of Pennsylvania (2009 to 2018)
- **Various Faculty Positions**, University of Pennsylvania (1997 to 2009)
- **Assistant Professor of Economics & Finance**, Carnegie Mellon University (1994 to 1997)

BIO

Yaron's immense pride in serving as Bank Governor reflects both his intellectual ambition and deep attachment to Israel. Born in Tel Aviv in 1964 to a family of economists, psychologists, doctors, and lawyers, Yaron moved to the United States for his graduate studies in economics at the University of Chicago and professional roles at Carnegie Mellon and University of Pennsylvania's Wharton School. He also was a guest scholar at the Federal Reserve in Philadelphia.

- **Academic Accomplishments**
  Yaron's paper, "Risks for the Long Run: A Potential Resolution of Asset Pricing Puzzles" is a foundational text, winning him and his coauthor Ravi Bansal acclaim for the "Bansal-Yaron Model." Yaron has continued to publish policy-oriented pieces in the *Israel Economic Review.*

- **Athletic Pursuits**
  Yaron has a lifelong connection to sports, playing tennis and basketball as a student and fondly recalling his attendance at major events, including the Maccabi Games. He also is a runner, telling a journalist that he misses "sometimes going for a run by the sea."

Yaron is married to Nurit Yaron, who is involved in Israeli film festivals, and they have two children together. His family stayed in the United States when he served in the Israeli Defense Forces in the mid-to-late 1980s. Yaron speaks Hebrew and English.